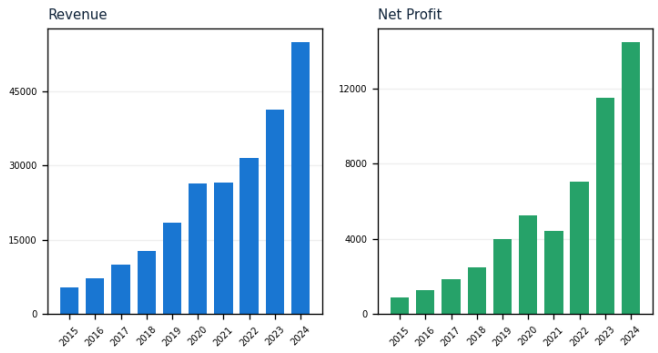
Bajaj Finance Ltd

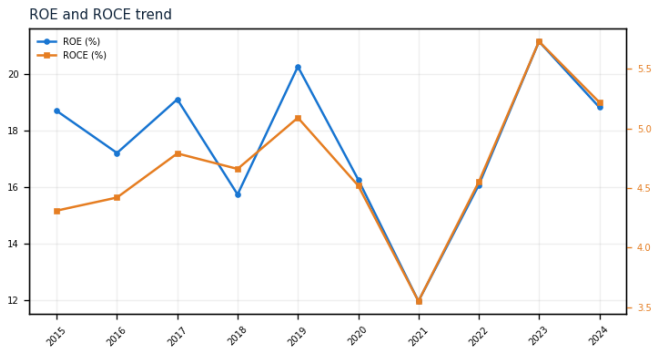
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ROE **18.84%**	ROCE **5.22%**	Revenue CAGR (5Y) **24.35%**
PAT CAGR (5Y) **29.32%**	Debt / Equity **3.82x**	Free Cash Flow **-79,931.00 Cr**

Revenue & net profit (10Y)



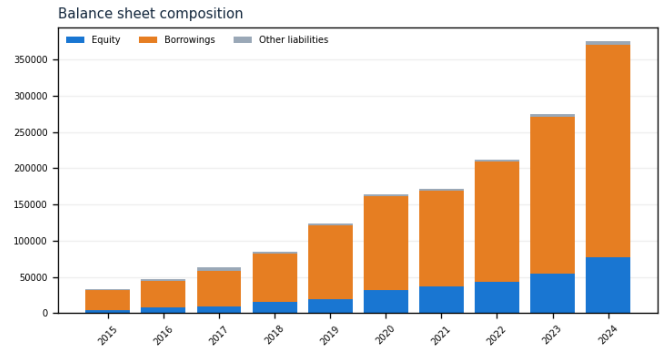
Returns (dual-axis)



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Balance sheet



Cash flow waterfall



PROS

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

CONS

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation | Growth Funded by Debt